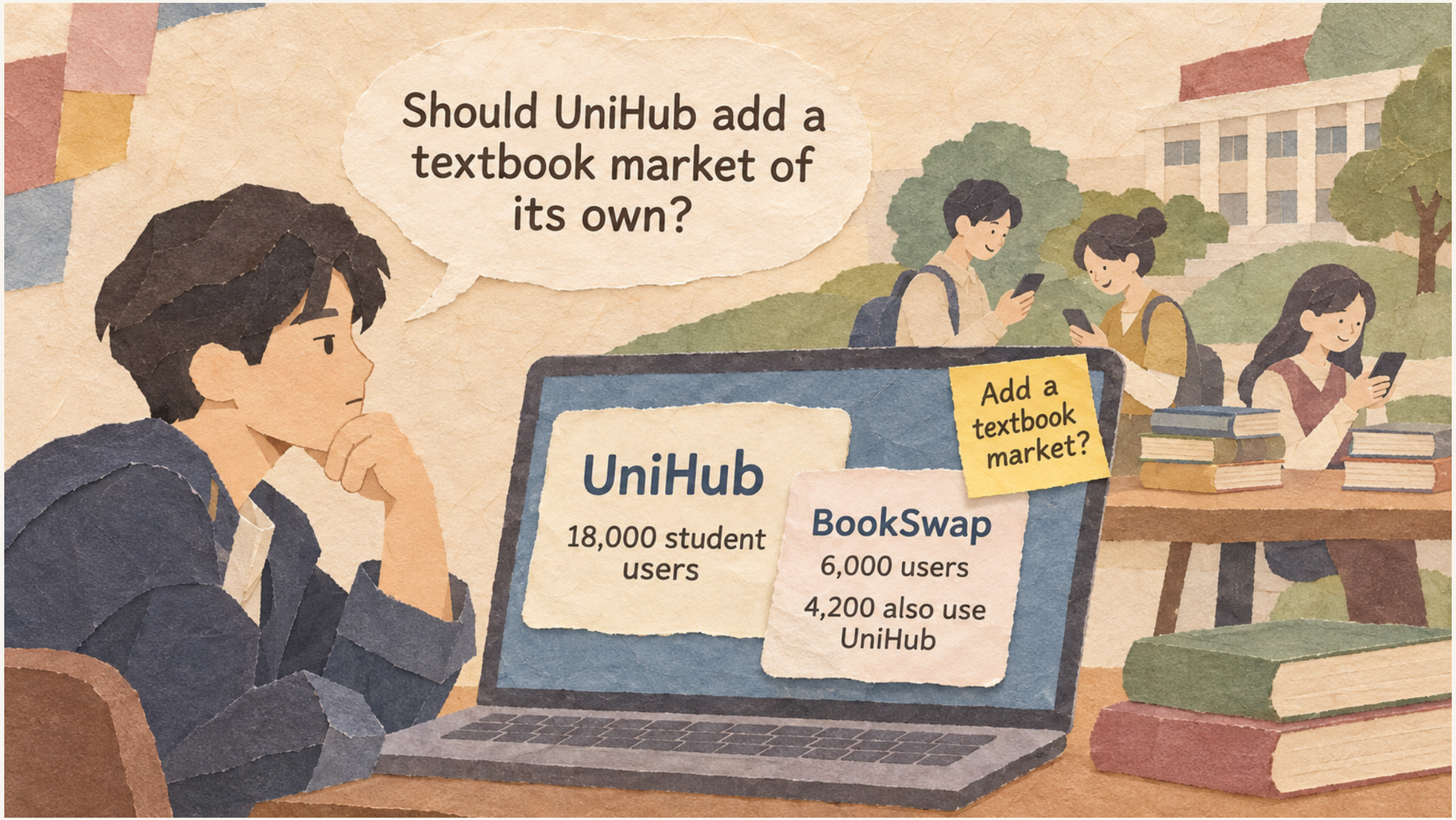
Session 3.1: The Platform Envelopment Strategy



THE SITUATION

UniHub: most BookSwap users are already here

UniHub is a free campus app for timetables and notices, run by Jae. BookSwap is a separate app for selling used textbooks.

	UNIHUB	BOOKSWAP
Users	**18,000**	**6,000**
Users who use both apps	**4,200**	**4,200**
Already has	Student login, student ID check, payment	Its own login and payment
Earns money from	Campus ads	10% fee on each sale
Cost to win one user	Almost $0 (in-app banner)	$8.00 in online ads

A textbook market inside UniHub: one developer for 3 months at $4,000 a month = $12,000 once, plus $1,000 per semester to run. Should UniHub build it?

What is the Platform Envelopment Strategy?

A company that already has many users **adds the product of a nearby market to its own platform**, often in a **bundle**, and so wins that market's customers. It works because the attacker already has the customers and many of the parts it needs (accounts, payments, data, a sales team), so it can offer the new product at a much lower cost. The new product does not have to be the best; it must be **good enough and easier** because it comes in the same app.

Use it when many of your users also use a product in a nearby market and your existing parts can serve that market. Use it fairly: users must keep a choice.

Nearby market and standalone product

Nearby market
(adjacent market)

A different market that serves many of the same customers.
Example: textbook trading is next to a campus app; both serve the same students.

Standalone product

A product that does one job and is used on its own.
Example: BookSwap does only textbook trading.

Envelopment and overlap rate

Envelopment

A platform enters a nearby market by adding that market's product to its own platform. The company that enters is the **attacker**; the company already there is the **target**.

Example: UniHub (attacker) adds a textbook market and competes with BookSwap (target).

Overlap rate

The share of the target's users who already use the attacker's platform.

Overlap rate = shared users / target's users x 100

Example: 4,200 / 6,000 x 100 = 70%.

Shared parts and bundle

Shared parts

Things the attacker already has and can use again: accounts, payments, data, sales teams.

Example: UniHub already checks every user's student ID.

Bundle

Two or more products offered together, for one price or free together.

Example: Microsoft 365 gives companies Word, Excel, and Teams in one subscription.

Customer acquisition cost and competition law

Customer acquisition cost

(CAC)

The money a company spends to win one new customer.

CAC = marketing spending / new customers

Example: BookSwap spends $8,000 on ads and wins 1,000 users: $8.00.

Competition law

(antitrust law)

Laws that stop large companies from unfairly blocking competitors, for example by forcing customers to take a bundle.

Example: in 2023, the European Commission investigated Microsoft for bundling Teams with Office.

Rule 1: Enter a market where your users already are

Look for a nearby market whose customers already use your app. The more customers you share, the easier and cheaper it is to reach them.



DO

Example

70% of BookSwap's users already open UniHub every day. If UniHub adds a textbook market, these students will see it right away. UniHub does not need to pay for ads.

AVOID

Common mistake

Entering a market where few of your users are, such as a used-car market for office workers. Then you must pay for ads like any new company, so you have no advantage.

Rule 2: Use your shared parts again

You already have user accounts, a payment system, and customer data. Use them again in the new market. Then each new customer costs you very little.



DO

Example

UniHub uses its student login, student ID check, and payment system again. Students do not need a new account, and buyers feel safe because every seller is a real student.

AVOID

Common mistake

Building the new market as a separate app with a new login and a new payment system. Students must sign up again, and UniHub pays as much as any new company.

Rule 3: Make the new product good enough and easier to use

The new product does not need to be the best. But it must do its main job well. Users switch when one app is easier or cheaper than two.



DO

Example

In UniHub Market, a student can list a book in one minute with the login they already have. The fee is 5%, half of BookSwap's 10%.

AVOID

Common mistake

Adding a weak feature, such as a market where finding a book is slow and hard. Students try it once and go back to BookSwap. Being in the same app does not save a bad product.

Rule 4: Let users choose, and play fair

Users must be free to use the new product or not, and you must not block the rival. Forced users get angry, and a big company that blocks rivals can break competition law.



DO

Example

UniHub Market is just one tab. Students who do not want it can ignore it. UniHub also keeps showing BookSwap posts on its notice board.

AVOID

Common mistake

Making every student use UniHub Market, or deleting BookSwap posts from UniHub. Students complain, and the government may step in.

Microsoft Teams and Slack

What happened

Slack was a popular standalone chat app for companies. In 2017, Microsoft launched Teams inside Office 365 business subscriptions at no extra cost. By October 2020, Teams had more than 115 million daily users. Slack spent about half of its revenue on sales and marketing, and in December 2020 it agreed to be bought by Salesforce for $27.7 billion.

Why it is good

- Millions of companies already paid for Office 365. **(Rule 1)**
- Existing accounts, sales team, and Office files made each Teams user almost free to win. **(Rule 2)**
- Good enough for most companies, at no extra price. **(Rule 3)**
- *Lesson:* in 2023 the European Commission investigated the bundle, and Microsoft began selling Office without Teams in Europe. **(Rule 4)**

Uber Eats

What happened

Uber added food delivery using the same Uber account and saved card, the same maps, and many of the same drivers. In the fourth quarter of 2020, when many people stopped taking rides, Uber's delivery orders were worth $10.1 billion, more than its rides ($6.8 billion).

Why it is good

- People who take Uber rides also order food. **(Rule 1)**
- Drivers, maps, and payments were used again. **(Rule 2)**
- One account and one saved card made ordering easy. **(Rule 3)**

Google+ and YouTube

What happened

Google launched Google+ in 2011 to compete with Facebook. In 2013, YouTube began requiring a Google+ profile to post comments. Users complained loudly. Google removed the requirement in 2015 and closed Google+ for consumers in April 2019.

Why it is bad

- Users were forced into the new product to keep using YouTube. **(Rule 4)**
- Google had the users, but not their friends; a social network needs your friends (Session 1.2). **(Rule 3)**
- Forcing users damaged trust in YouTube, the product people already liked.

Amazon Fire Phone

What happened

In 2014, Amazon launched the Fire Phone, with a Firefly button that recognized products and let users buy them on Amazon. Sales were weak, and in October 2014 Amazon reported a charge of about $170 million, mainly for unsold phones.

Why it is bad

- Shoppers could already use Amazon on any iPhone or Android phone, so the bundle added little. **(Rule 3)**
- Fewer apps than iPhone and Android: it did not do a phone's main job well enough. **(Rule 3)**
- Shared parts helped Amazon sell more, not make the phone better for users. **(Rule 2)**

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
Microsoft Teams	**Good**	Customers and shared parts already in place (Rules 1 and 2)
Uber Eats	**Good**	Drivers, maps, and payments used again (Rule 2)
Google+	**Bad**	Users forced, product not good enough (Rules 4 and 3)
Amazon Fire Phone	**Bad**	The bundle gave users little new value (Rule 3)

Envelopment wins when the attacker already has the users and the parts, and users choose the bundle because it is easier.

Tool 1: Overlap rate

USED IN EXERCISES 2 AND 3

Formula

Overlap rate = shared users / target's users x 100

WHAT IT LOOKS LIKE

Example: music and podcasts

- A music app has 40,000 users.
- A standalone podcast app has 10,000 users; 3,000 also use the music app.
- 3,000 / 10,000 x 100 = 30%.

Tool 2: Customer acquisition cost (CAC)

USED IN EXERCISE 2

Formula

CAC = marketing spending / new customers

Compare the attacker's CAC with the target's CAC.

WHAT IT LOOKS LIKE

Example: music and podcasts

- Podcast app: $50,000 on ads, 5,000 users: $10.00.
- Music app: $3,000 on banners in its own app, 6,000 podcast listeners: $0.50.

Tool 3: Profit over several periods

A new product often loses money at first because it costs money to build.

USED IN EXERCISE 3

Formula

Profit = revenue per period x periods - one-time cost - running cost per period x periods

WHAT IT LOOKS LIKE

Example: a gym app

- Meal-plan feature costs $5,000 to build.
- Earns $2,000 a month; costs $500 a month to run.
- After 4 months: $8,000 - $5,000 - $2,000 = $1,000.

Tool 4: Trade-off and decision rule (from Session 2.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Example: "If fewer than 10% of our users try the new feature in the first semester, we will stop building it."

Envelopment or not?

Six companies plan a move:

- (a) ChatLine, a messaging app with 30 million users, adds money transfers using the same account and saved bank card.
- (b) A bakery opens a second shop in another city.
- (c) An email service adds a free calendar inside the same login and competes with standalone calendar apps.
- (d) A ride-hailing app cuts its ride prices by 20%.
- (e) A phone maker puts a free note-taking app on every new phone and competes with standalone note apps.
- (f) A shoe store sells video games on a separate website with separate customer accounts.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Move [letter]: [envelopment / not envelopment], because
shared users: [yes / no], shared parts: [what is used again, or none],
nearby market: [which market it enters, or none].

WORKED EXAMPLE: TWO OTHER MOVES

Move: a banking app adds stock trading inside the same app.
Envelopment, because shared users: yes, shared parts: the same login and bank account, nearby market: stock trading apps.
Move: a coffee shop adds ten more tables.
Not envelopment, because shared users: yes, shared parts: none new, nearby market: none (it grows in its own market).

Envelopment needs shared users, shared parts, and a nearby market

MOVE	ANSWER	WHY
(a) ChatLine money transfers	Envelopment	Same users, same account and saved card
(b) Second bakery	Not	Same product in a new place; no nearby market
(c) Free calendar	Envelopment	Same users and login; enters calendar apps
(d) 20% price cut	Not	A price cut in its own market
(e) Free note app	Envelopment	Every phone buyer gets it; enters note apps
(f) Video games	Not	No shared parts; not a market next to shoes

Check an envelopment opportunity: FitTrack

Scenario

- FitTrack: a running app with **50,000 users**.
- MealMate: a standalone meal-planning app with **20,000 users**; **9,000** also use FitTrack.
- MealMate spent **$60,000** on ads last year and won **10,000** new users.
- FitTrack plans meal plans in its app: **$5,000** on in-app banners, **8,000** users expected in year 1.

Your steps

- **Step 1:** Overlap rate = 9,000 / 20,000 x 100 = _____ %. MealMate CAC = $60,000 / 10,000 = $____. FitTrack CAC = $5,000 / 8,000 = $____.
- **Step 2:** Check the four rules with the template on the next slide.

Use the template

TEMPLATE

Rule 1 (users already there): overlap rate = [number] %. [strong / weak], because [reason].
Rule 2 (shared parts): we can use [parts] again. Our CAC is $[number] vs. their $[number].
Rule 3 (good enough and easier): users will switch because [one reason]. The risk is [one weakness].
Rule 4 (choice and fairness): we will keep [what users can still choose].
Verdict: [go / do not go], because [one sentence].

WORKED EXAMPLE: CITYMAP ADDS PARKING PAYMENT

Rule 1: overlap rate = 6,000 / 10,000 = 60%. Strong: most ParkPay users already open CityMap while driving.
Rule 2: maps, accounts, and saved cards used again. Our CAC is $4,000 / 10,000 = $0.40 vs. ParkPay's $40,000 / 5,000 = $8.00.
Rule 3: drivers pay in the app they already use to drive there. Risk: some lots work only with ParkPay.
Rule 4: we keep showing ParkPay lots on our map.
Verdict: go, because overlap is high and our CAC is 20 times lower.

Overlap 45%; CAC $0.63 vs. $6.00

- **Overlap rate** = 9,000 / 20,000 x 100 = **45%**: medium; almost half of MealMate users already use FitTrack.
- **CAC:** MealMate $60,000 / 10,000 = **$6.00**; FitTrack $5,000 / 8,000 = **$0.63** (about 10 times lower).
- **Shared parts:** accounts, workout data that can suggest meals, payment.
- **Reason to switch:** for example, meal plans that match today's run. **Risk:** MealMate's recipes may be better.
- **Choice:** for example, users can still connect MealMate.
- **Verdict:** go is reasonable; do not go can also be strong if it argues the meal plans would not be good enough (Rule 3).

Should UniHub envelop BookSwap?

18,000 UniHub users / 6,000 BookSwap users, 4,200 shared / each active trader sells about $40 of books per semester

ENVELOP

Option A: Build UniHub Market

Build cost **$12,000** once (1 developer x 3 months x $4,000), plus **$1,000** per semester to run.

Fee **5%** (half of BookSwap's). Expect **20%** of UniHub users to trade each semester.

PARTNER

Option B: Partner with BookSwap

A BookSwap tab inside UniHub. BookSwap pays **$2** for each new user who joins through UniHub.

Expect **1,400** new users per semester. No building cost.

Calculate before you decide (Tools 1 and 3)

- Overlap rate = 4,200 / 6,000 x 100 = _____ %
- Option A: traders per semester = 18,000 x 20% = _____; fee revenue = traders x $40 x 5% = $_____
- Option A profit over 4 semesters = 4 x fee revenue - $12,000 - 4 x $1,000 = $_____
- Option A if only 10% trade: traders = _____; revenue per semester = $_____; profit over 4 semesters = $_____
- Option B: revenue per semester = 1,400 x $2 = $_____; profit over 4 semesters = $_____

Write a 3-bullet memo to the CEO (Tool 4)

TEMPLATE

To: [CEO name], [company]
1. Decision and evidence: We should choose [option] because [the rule it follows] and [one number from your calculation].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next semester we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

CityMap: build parking payment, or partner with ParkPay?

To: Sara Lin, CEO, CityMap
1. Decision and evidence: We should build parking payment inside CityMap, because 60% of ParkPay users already use our app (Rule 1) and our CAC is $0.40 against ParkPay's $8.00 (Rule 2).
2. Biggest risk and trade-off: The weakest point is that some parking lots work only with ParkPay. We give up a safe partnership fee to own a payment business that can grow with our map users.
3. Next step and decision rule: In the next semester we will launch in one city and measure how many drivers pay through CityMap. We will change this decision if fewer than 5% of drivers in that city use it.

Envelopment wins only if about 19% of users trade

- Overlap rate = 4,200 / 6,000 x 100 = **70%**.
- Option A: 3,600 traders x $40 x 5% = **$7,200** per semester; profit = $28,800 - $16,000 = **$12,800**.
- Option A if only 10% trade: 1,800 traders, $3,600 per semester; profit = $14,400 - $16,000 = **-$1,600** (a loss).
- Option B: 1,400 x $2 = $2,800 per semester; profit = **$11,200**, no building cost and no risk of a loss.

A beats B only above 3,400 traders (about 19% of users), and avoids a loss only above 2,000 traders (about 11%). The team expects 20%: A earns $1,600 more, just above the line.

What a strong memo looks like

ENVELOP

If you choose Option A

- Points to the 70% overlap and the shared student ID check (Rules 1 and 2).
- Names the risk that fewer users trade than the team expects.
- Gives a decision rule: "If fewer than 19% of UniHub users trade in the first semester, we will switch to the partnership."

PARTNER

If you choose Option B

- Explains why safe, certain income ($11,200) is worth more than $1,600 of extra profit at risk.
- Names the trade-off: UniHub gives up control of the textbook market.
- Gives a decision rule for when to build its own market later.

SUCCESS CHECK

Can you do these three things?

01

Explain envelopment with the words attacker, target, overlap, shared parts, and bundle.

02

Check an opportunity with the overlap rate, the CAC, and the four rules.

03

Compare envelopment with a partnership over several periods and write a decision rule.

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